

Subj: USE OF OTHER THAN FULL AND OPEN COMPETITION FOR AN ACQUISITION UNDER THE SIMPLIFIED ACQUISITION THRESHOLD

I. BACKGROUND:

1. FAR 13.106-1(b)(1)(i) states for purchases not exceeding the simplified acquisition threshold, Contracting Officers may solicit from one source if the Contracting Officer determines that the circumstances of the contract action deem only one source reasonably available (e.g., urgency, exclusive licensing agreements, brand-name or industrial mobilization).

2. As required by FAR 13.106-3(b)(3)(i), this memorandum explains the absence of competition for this acquisition, as only one source will be solicited for this requirement (or for a portion of the requirement) and the requirement is not expected to exceed the simplified acquisition threshold.

II. DESCRIPTION OF ITEM OR SERVICE:

The required service is to provide multiple buildings with liquefied propane (LP) gas. This service supports multiple functions in each facility that is essential for daily operations.

The previous LP-gas contract expired on 20 November 2024, which was procured through NAVSUP FLCY. On 25 November 2024, NAVSUP FLCY informed the NAVFAC FE PWD Sasebo Material Support Team that NAVSUP FLCY will no longer support this service. NAVFAC reached out to DLA for support but as of 25 November 2024, DLA informed NAVFAC that authority to procure LP-gas is up to the contracting activity that is responsible for for NAVFAC FE PWD Sasebo procurement actions. Considering this information, this planned requirement is to procure LP-gas through CHOPRO, K.K. CO. (CHOPRO) to ensure an uninterrupted supply of LP-gas, which is essential to maintain the critical operations throughout CFAS buildings.

CHOPRO is the incumbent contractor and has the knowledge, built infrastructure, access, and capacity to meet the specific needs of the base, including compliance with safety, quality standards, as well as the required delivery schedule. No other supplier is currently mobilized and has the specific logistical capabilities and expertise as the incumbent.

Therefore this use of other than full and open competition for an acquisition under the simplified acquisition threshold requests authority to issue a sole source solicitation/purchase order to CHOPRO providing LP-gas at CFAS, Japan on an other than full and open competition basis.

III. THE DETERMINATION FOR USE OF OTHER THAN FULL AND OPEN COMPETITION IS BASED ON THE FOLLOWING :

A. ONLY ONE RESPONSIBLE SOURCE (select all that apply):

1. **RESTRICTIVE RIGHTS.** The source has established proprietary rights, limited rights in data, patent rights, copyrights or secret processes in the item or service required.
2. **EXCLUSIVE LICENSING AGREEMENTS.** The item or service is only available from the Original Equipment Manufacturer (OEM), or there is only one authorized distributor or technical representative for the OEM.
3. **OTHER REASONS.** *Other reason not identified above. Provide details on mission impact if requirement is not solicited from only one source.*

B. BRAND NAME. Item required must be a brand name product, or feature of a product, particular to one manufacturer.

C. X UNUSUAL AND COMPELLING URGENCY. The supplies or services are of such unusual and compelling urgency that the Government would be seriously injured unless the agency is permitted to limit the number of sources from which it solicits bids or proposals. Urgent requirements are supplies or services that will result in a work stoppage, or are mission critical and the routine processing time would result in injury to the Government. The determination that the procurement for the above item/service is an urgent and compelling requirement is based on the following:

1. Date on which the requirement was first identified: Oct. 25, 2024

2. Required delivery date/period of performance: ASAP

3. Explanation of why delivery/commencement of services by the date mentioned above is required:

The immediate initiation of a contract with CHOPRO to ensure the uninterrupted supply of LP-gas is critical for maintaining the operations of essential facilities at CFAS. CHOPRO has also installed the necessary infrastructure such as gas supply pipes, meters, and meter boxes to provide LP gas throughout CFAS (bldg., 1446 and 1449 at Harbor View Club, Bldg. 1649 at Galaxies, and Bldg. 5114 at Darby School). Additionally CHOPRO performs periodic inspections of these facilities. If the contract is transitioned to a new supplier, the incoming contractor would need to replace all existing equipment, which could take several months to complete. During this transition period, the facilities would experience significant disruptions in gas supply, which could severely impact their operations. Therefore, it is essential that

services commence with CHOPRO as soon as possible to prevent any operational delays and ensure continuous, reliable gas supply.

4. If appropriate, include any additional pertinent information.

CHOPRO is recommended as the contractor for this urgent requirement due to their extensive experience in supplying LP-gas for over 15 years. As the incumbent contractor, CHOPRO already has established base access, is fully mobilized, and possesses the logistical capabilities and expertise necessary to efficiently manage LP-gas deliveries across CFAS. Sole sourcing to CHOPRO is critical to ensuring the continuous and reliable supply of LP-gas, which directly supports CFAS's operational mission.

The team would like to highlight the following key considerations:

- Sourcing to a new contractor would result in significant delays, particularly due to the requirements for base access. Furthermore, both the contractor and government would need to invest considerable time in escorting and familiarizing the new contractor with the various areas, further prolonging the process and potentially disrupting operations.
- CHOPRO has already installed the necessary support equipment for LP-gas supply. If a new contractor is selected, this equipment would need to be removed, and the new company would have to install its own systems. This process would take several months to complete, incur additional costs for procuring and installing new equipment, and further delay service while increasing operational costs.

IV. CERTIFICATIONS/APPROVALS:

Technical / Requirements Certification: I certify that the facts and representation under my cognizance which are included in this justification are complete and accurate to the best of my knowledge and belief.

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Date

Contracting Officer Approval

I certify that this Justification is accurate and complete to the best of my knowledge and belief.

Elaine P. Jolliff

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